

on India. Our oil imports, movement of goods, the impact of China being put under tariff and sanctions by the US, the excess capacity that is sitting in the Chinese economy that is not finding a market in the developed countries, will they go about dumping it in India?

Therefore, when you're looking at predictions just keeping Indian factors in mind, it is one thing...But there are things that are happening, several things happening simultaneously, all of which are adding to the downside risks. You need to have realistic growth numbers.

Q: On the nature of the slowdown in growth...

A: Even when our fundamentals are strong and when our currency is strong as opposed to all other currencies, just in relation to dollar, we suffer because of the dollar's peculiarity. And that is not the situation just for the rupee, it is about every other currency. Now if your currency is fine and fit except for this volatility with the dollar, can it be so if your fundamentals are weak? Can it be so if there are systemic problems? It cannot be. India cannot be the fastest growing major economy continuously for three successive years, and the World Bank predicts that will continue next year too, if systemic problems are grinding us to a halt.

Q: The government speaks about India being the third largest economy. But the per capita income is not something that we can boast about. What are your thoughts on that?

A: When we take an indicator, we should understand that as much proudly as we speak about the demographic dividend that India can have because of its population, we need to widen the pie that much more and grow faster for per capita income also to match up that level. You can't keep telling me, but your GDP has to grow. But why is this? They are all interlinked. I cannot aspire to have a per capita income much better than less populous countries. These are hard realities.

Q: One of the notable things about Budgets under your charge is that, despite everything, you have maintained fiscal consolidation.



“... we’ve highlighted [to the private sector] that many of them are probably sitting with passive investments... They can always look at newer capacity building”

Are you disappointed that international rating agencies are not taking that into account?

A: The fiscal deficit number for the coming year, financial year 2025-26, is 4.4% because that's the glide path we have given ourselves. Capital expenditure makes up for 4.3% of our GDP. If my fiscal deficit is